

## **SECTION 2**

### **TRADING PARTICIPANTS**

#### **2.1 TYPES OF TRADING PARTICIPANTS TO WHOM THESE RULES APPLY**

- (1) A Stockbroker; or,
- (2) a Stock dealer.

#### **2.2 PROCEDURE FOR GRANTING TRADING PARTICIPANT STATUS**

- (1) An applicant entity may in the first instance, apply for a provisional Trading Participant status of the CSE, by submitting an application to the CSE in conformity with the format published on the website of the CSE, along with the list of documents set out in Annexure 1 of these Rules.

An applicant entity shall additionally make an application to CSE Clear to be admitted as a Clearing Member in terms of the Rules of the CSE Clear and shall inform the CSE of the type of Clearing Member it will operate as.

- (2) Upon receipt of an application, the CSE may accept or refuse such application for admission as a Trading Participant in terms of these Rules.
- (3) If an application is accepted by the CSE, the applicant entity shall be granted a provisional Trading Participant status of the CSE.

If an application is refused by the CSE in terms of Rule 2.3 below, the reasons for such refusal shall be communicated to the applicant entity by the CSE.

- (4) The provisional Trading Participant status granted to the applicant entity shall not entitle such applicant to the trading privileges set out in Rule 2.5 of these Rules.
- (5) The applicant entity shall comply with the minimum standards set out in Section 4 and the admission criteria set out in Sections 10 or 16 of these Rules (as applicable) within three (3) months from being granted the provisional Trading Participant status by the CSE.
- (6) Upon the applicant entity complying with the requirements set out in Rule 2.2 (5) to the satisfaction of the CSE within the time period specified in Rule 2.2 (5) above;
  - (a) the CSE shall issue a written confirmation to the SEC, with notice to the applicant entity, confirming that the applicant entity has satisfied the minimum standards set out in Section 4 and the admission criteria set out in Section 10 or 16 of these Rules (as applicable) and recommending that the applicant entity be granted a license as a Stockbroker and/or Stock dealer (as applicable); and,
  - (b) the applicant entity shall obtain a license to operate as a Stockbroker and/or a Stock dealer from the SEC in terms of the SEC Act.
- (7) The provisional Trading Participant status shall;

- (a) remain provisional until such time the applicant entity receives a license from the SEC to operate as a Stockbroker and/or Stock dealer; or,
- (b) be deemed to have lapsed;
  - (i) if the application made to the SEC to be licensed as a Stockbroker and/or a Stock dealer is refused by the SEC; or,
  - (ii) upon the expiry of a period of six (6) months from the date of issuing the written confirmation to the SEC as specified in Rule 2.2 (6) (a) above;

whichever occurs earlier.

- (8) Subject to Rule 2.2 (7) (b) above, the applicant entity shall be granted Trading Participant status by the CSE upon such entity obtaining a license to operate as a Stockbroker and/or a Stock dealer from the SEC.

## **2.3 GROUNDS FOR REFUSAL OF AN APPLICATION TO BE APPOINTED AS A TRADING PARTICIPANT**

The CSE may refuse any application for admission as a Trading Participant in the instances including but not limited to the following;

- (1) The application not being submitted by the applicant entity in accordance with this Section.
- (2) The applicant entity failing to meet the admission criteria specified in these Rules.
- (3) Any information or document that is furnished by the applicant entity to the CSE is false or misleading or from which there is a material omission.
- (4) The applicant entity is the subject of an investigation involving an allegation of fraud or dishonesty, whether in or outside Sri Lanka;
- (5) The applicant entity is in the course of being wound up, or a resolution to do so is passed by shareholders, or a court order is made to wind up, whether in or outside Sri Lanka;
- (6) The CSE has reasons to believe that the applicant entity may not be able to act in the best interest of its Clients having regard to its record of past performance, business experience, reputation, financial integrity and reliability.

## **2.4 APPEALS**

An applicant may appeal to the SEC from any decision of the CSE to reject an application for admission as a Trading Participant. Such appeal must be made within one (1) month of the decision of the CSE being communicated to the applicant by the CSE.

## **2.5 TRADING PRIVILEGES**

Trading Participants may be permitted to engage in the business of trading and/or dealing in Securities on the CSE, subject to parameters and trading privileges

determined by the Board of Directors of the CSE from time to time, including the following:

- (1) The type of Securities in which the Trading Participant may deal in.
- (2) The relevant trading platform/s on which the Trading Participant may operate.
- (3) The provision of any other services permitted by the Board of Directors of the CSE.

## **2.6 LIST OF TRADING PARTICIPANTS**

- (1) Applicants who are admitted by the CSE as Trading Participants shall have their names entered in the list of Trading Participants maintained and published by the CSE.
- (2) The CSE will notify all Trading Participants of the effective date of admission as Trading Participants.

## **2.7 KEY MANAGEMENT PERSONS / CONTROLLER OF TRADING PARTICIPANTS**

- 2.7.1** The Key Management Persons, Controller, and employees of Trading Participants dealing with Clients shall, at all times, comply with the Fit and Propriety in accordance with the provisions of the SEC Act and any Rules/Regulations made thereunder.
- 2.7.2** The Trading Participants shall immediately inform the CSE, in writing, of any changes in Key Management Persons of such Trading Participant.
- 2.7.3** The employees of Trading Participants who are dealing with Clients shall have their names entered in the list of Trading Participants maintained and published by the CSE.
- 2.7.4** The Trading Participants shall immediately inform the CSE and the SEC in writing of any changes in employees dealing with Clients and if any disciplinary action is taken by the Trading Participant against such employee(s) dealing with Clients.

## **2.8 CHANGES IN SHAREHOLDING**

- 2.8.1** The Trading Participants shall;

- (1) obtain the prior written approval of the CSE for any change in;
  - (a) the ultimate control of the Trading Participant;
  - (b) the shareholding of twenty per centum (20%) or more of the total shareholding of the Trading Participant, through any means, individually and/or acting in concert, whether by a single transaction or a series of transactions over a period of time.
- (2) notify, in writing, to the CSE of all other shareholding changes not referred to in Rule 2.8.1 (1) above.

- 2.8.2** In the event a Trading Participant fails to comply with Rule 2.8.1 (1) and/or (2) above, the CSE shall impose fines on such Trading Participant, as specified in Table 1 contained in Section 2 of these Rules.

- 2.8.3** Where the change in the shareholding of a Trading Participant is effected through an issue of new shares, the consideration for such shares shall be made only in the form of cash.

## **2.9 PERSONS AUTHORIZED TO ACT ON BEHALF OF A TRADING PARTICIPANT**

- 2.9.1** Trading Participants shall give written notice to the CSE of the persons who are authorized to act on their behalf.
- 2.9.2** Such authorized persons shall be the contact persons and shall have the authority to provide instructions to the CSE in respect of matters concerning such Trading Participants in terms of these Rules.
- 2.9.3** Trading Participants shall ensure that any change to such authorized persons shall promptly be communicated to the CSE, in writing.

## **2.10 FEES**

- 2.10.1.** Trading Participants shall pay the following charges/fees as specified by the CSE from time to time:

- (1) Trading Participant fees:
  - (a) Admission fee;
  - (b) Monthly Trading Participant fee.

Provided however, these fees shall not be applicable to Trading Participants admitted to Trade only in the OTC platform of the CSE.

- (2) Other service fees in relation to data communication, network connectivity and other IT related charges.

- 2.10.2.** In the event a Trading Participant fails to comply with Rule 2.10.1 above, the CSE shall impose fines on such Trading Participant, as specified in Table 1 contained in Section 2 of these Rules.

## **2.11 TERMINATION/SUSPENSION OF TRADING PARTICIPANT STATUS**

### **2.11.1 Grounds for termination/suspension of Trading Participant Status**

- (1) The CSE shall suspend or terminate the Trading Participant status if:
  - (a) the Trading Participant ceases to be or is suspended from or losses its capacity as a Clearing Member of CSE Clear or Depository Participant of the CDS due to the violation of any Rules by such Trading Participant of the Clearing House or the Central Depository or the Exchange.
  - (b) the Trading Participant is unable to meet the minimum capital requirements specified by the CSE in terms of these Rules.
  - (c) the Trading Participant fails to reactivate business operations in accordance with Rule 15.14.1.
  - (d) Directed by the SEC.
  - (e) An order for winding up has been made against a Trading Participant under the provisions of the Companies Act No. 7 of 2007, or upon the appointment of a receiver, manager or liquidator.
- (2) The CSE with notice to the CDS and CSE Clear may suspend or terminate Trading Participant status, after giving the Trading Participant a reasonable opportunity of being heard by the Disciplinary Committee in accordance with Section 7 of these Rules, if:

- (a) the Trading Participant fails to comply with or is in breach of any provisions of the SEC Act, any Rules/Regulations made thereunder or provisions of these Rules or of the Trading Participant Agreement.
- (b) the Trading Participant breaches any term, condition or restriction imposed by the CSE pursuant to its powers under these Rules.
- (c) the Trading Participant has winding up proceedings commenced against it in a court of law.
- (d) it is necessary or desirable to do so in the interests of ensuring safe and efficient trading facilities or to ensure the integrity of the capital market or for the proper management of systemic risk, or for investor protection.
- (e) a resolution is passed to wind up or dissolve a Trading Participant;
- (f) a compromise has been reached with its creditors or administrators which has not been satisfied.

Provided however, notwithstanding the provisions of this Rule 2.11.1 (2) above, the CSE may unilaterally and without a prior inquiry suspend a Trading Participant from carrying out all trading activities for a period of not more than seven (07) Market Days where it is of the opinion that an immediate suspension is required in the interests of protecting market integrity. Following such a suspension the CSE shall promptly inform the SEC of its decision with reasons and whether it considers that such suspension should be extended for further periods. The SEC and the CSE may in concurrence decide to extend the suspension for further periods subject to granting the Trading Participant a right to be heard until a decision is taken by the Disciplinary Committee or permit the Trading Participant to continue to carry out trading activities subject to terms and conditions that may be stipulated by the CSE in concurrence with the SEC.

**2.11.2** During the period of suspension of any Trading Participant, the CSE shall not be obliged to provide any trading facilities to such Trading Participant or perform any of its obligations under these Rules.

**2.11.3** Trading Participants who are suspended pursuant to Rule 2.11.1 may be reinstated by the CSE, subject to such Trading Participant having an appropriate clearing arrangement, with notice to the SEC, CDS and CSE Clear upon such Trading Participant complying with applicable laws, these Rules and/or any additional conditions that may be imposed by the CSE.

**2.11.4** The suspended Trading Participant shall, until reinstatement of Trading Participant status:

- (1) pay all outstanding charges owing to the CSE;
- (2) fulfill all other outstanding obligations to the CSE;
- (3) inform all its Clients in writing of such suspension forthwith (as applicable);
- (4) continue to comply with the terms and conditions set out in the Trading Participant Agreement and these Rules.

**2.11.5 Procedure to be followed upon a termination of a Trading Participant**

- (1) Upon the CSE terminating the Trading Participant status of a Trading Participant, the CSE shall immediately give written notice of such termination, with the effective date of termination to:
  - (a) the Trading Participant, whose Trading Participant status has been terminated;
  - (b) the SEC;
  - (c) the CDS and CSE Clear (as applicable); and,
  - (d) the public, by way of a notice on the website of the CSE.
- (2) Upon being notified by the CSE in terms of Rule 2.11.5 (1), the Trading Participant whose status has been terminated shall:
  - (a) forthwith take all necessary steps to give written notice to all its Clients of the termination of its Trading Participant status;
  - (b) pay all outstanding dues owing to the CSE;
  - (c) fulfil all other outstanding obligations to the CSE and to its Clients;
  - (d) ensure that all Clients' money held with the Trading Participant (as applicable) is promptly returned to the respective Clients;
  - (e) ensure that all settlement obligations arising from Trades carried out by such Trading Participant on the CSE are duly settled in terms of the CSE Clear Rules, in its capacity as a Clearing Member of CSE Clear, even if such settlement falls due on a date subsequent to terminating the business operations of the Trading Participant;
  - (f) facilitate the transfer of securities portfolios of Clients held in the CDS (including Margin Trading Accounts) in its capacity as a Depository Participant of the CDS to another Depository Participant(s) of the Clients' choice in terms of the Operational Guidelines and Procedures of the CDS, and,
  - (g) resolve all Client complaints pending at the time of the receipt of such notice of termination.
- (3) From the effective date of termination, the Trading Participant shall;
  - (a) be disconnected from the trading systems of the CSE; and,
  - (b) not be permitted to transact on the CSE on behalf of Clients and/or the Trading Participant's own trading account (as applicable).
- (4) Upon the due completion of the termination process by the Trading Participant as set out in Rule 2.11.5 (2) above,

- (a) the Trading Participant shall give written notice to the CSE along with a declaration in the format specified by the CSE signed by two (2) directors of the Trading Participant;
  - (b) the cash deposit maintained by the Trading Participant with the CSE in terms of Rule 4.7 of these Rules shall be returned to the Trading Participant after setting off any outstanding dues to the CSE and to any of their Clients, which are unsettled at the time of submitting the declaration to the CSE in accordance with Rule 2.11.5 (4) (a) above;
- (5) If a Trading Participant is compounded by the SEC in terms of the SEC Act, the CSE shall suspend the Trading Participant status of such Trading Participant for a period of (03) years, unless directed otherwise by the SEC.

## **2.12 COMPLIANCE AND COMPLIANCE REVIEW**

### **2.12.1 Compliance**

All Trading Participants shall comply with, implement and maintain appropriate measures and procedures to ensure compliance with the applicable laws, rules and regulations administered or issued by the SEC and the CSE, and the requirements of any regulatory authority which are applicable to the Trading Participants.

### **2.12.2 Compliance Officer**

All Trading Participants shall appoint a Compliance Officer as set out in Rule 4.1.2 (2).

### **2.12.3 Compliance Review**

- (1) The Compliance Officer shall carry out periodic checks to ensure compliance with the applicable laws, rules and regulations as set out in Rule 2.12.1 and submit a Compliance Officer's report to the CSE on a monthly basis before the twentieth (20<sup>th</sup>) day of the following month in the format prescribed by the CSE from time to time.
- (2) In the event the Compliance Officer of a Trading Participant fails to submit the Compliance Office's Report to the CSE in terms of Rule 2.12.3 (1) above within three (3) Market Days from the timeline referred to therein, the CSE shall impose a fine on such Trading Participant as specified in Table 1 contained in Section 2 these Rules.

## **2.13 REPORTING OF ADVERSE EVENTS**

A Trading Participant shall immediately notify the CSE and the SEC, in writing:

- (1) of any matter which adversely affects, or is likely to adversely affect the ability of any Trading Participant to meet its obligations in respect of its licensed business, including the minimum capital requirements specified by the CSE under these Rules;
- (2) if it has reason to believe that it will not be able to pay its debts as they fall due, is insolvent or wound-up, or has had an insolvency or winding-up application presented, or an order made by a court of competent jurisdiction, or any step is taken or a resolution passed, for its winding-up, dissolution, judicial management, a compromise with its creditors or administration;

- (3) if it has had any attachment, distress, execution or legal process instituted against its assets, or has had any liquidator, receiver or any similar person appointed (or an application has been made for the appointment of such person) in respect of any of its assets; or,
- (4) any regulatory body has taken any action against it upon being found to have committed or been connected with the commission or omission of any act which involves fraud, deceit or dishonesty by anybody with regulatory or supervisory authority;
  - (a) established by law in Sri Lanka or abroad,
  - (b) constituted under law as a commission of inquiry, tribunal or other similar body, or
  - (c) by any professional association.
- (5) of any enforcement action or sanctions imposed by the CBSL against a Trading Participant, if it is also a Primary Dealer or a Commercial Bank licensed by the CBSL.

#### **2.14 PROHIBITION ON TRANSACTIONS PURSUANT TO ACTION TAKEN BY THE CDS AND CSE CLEAR**

If the CSE is notified by the CDS and/or CSE Clear of any action taken by them under their respective rules consequent to which they decide not to give effect to any transactions of a Trading Participant, whether on behalf of the Trading Participants Client/s and on its own account, such Trading Participant shall be prohibited from carrying out any such transactions on the CSE from the effective date of the notification by the CDS and/or CSE Clear. Such prohibition shall continue to the extent and duration that the restriction imposed by the CDS and/or CSE Clear is in force and effect.

#### **Fines for non-compliance**

**Table 1**

| <b>Rule</b> | <b>Non-Compliance</b>                                                                   | <b>Fine</b>                                                                                     | <b>Deadline for payment the fines to the CSE</b>                                                              |
|-------------|-----------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| 2.8.2       | 2.8.1 (1) - Change in shareholding without CSE approval                                 | Rs. 25,000/- for each instance of non-compliance                                                | Within seven (07) Market Days from the date of notification of the fine by the CSE to the Trading Participant |
|             | 2.8.1 (2) - Failing to notify, in writing, to the CSE of all other shareholding changes | Rs. 10,000/- for each instance of non-compliance                                                |                                                                                                               |
| 2.10.2      | 2.10.1 - Failing to make payments of Fees to the CSE                                    | 10% of the applicable fee for each defaulted month or Rs. 5000/- per month, whichever is higher |                                                                                                               |



|            |                                                                |                                                                                                                                |                                                                                                                                                          |
|------------|----------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2.12.3 (2) | 2.12.3 (1) - Failing to submit the Compliance Officer's Report | Rs. 5,000/- per day, for each instance of failure to submit after three (3) Market Days from the date specified in these Rules | Accumulated as at the end of the month and within seven (07) Market Days from the date of notification of the fine by the CSE to the Trading Participant |
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